



Qualification Programme Examination Panelist's Report

Module 9 – Principles of Taxation (June 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 10 multiple choice questions. Candidates were required to answer all questions. The contents of the questions related broadly to the following topics:

- (a) Tax administration;
- (b) Property tax;
- (c) Salaries tax;
- (d) Profits tax; and
- (e) Stamp duty.

Candidates' performance in this section was below average. The questions covered non-computational questions and computational questions. Performance in computational questions was poor, demonstrating that candidates may need additional practice in computing income/profits and expenditure in different scenarios.

Specific Comments

The wide range of topics in the syllabus may be a source of difficulty for candidates. Particularly, there were amendments of law which required candidates to be up to date on their knowledge of taxation laws. Candidates were especially weak in the following areas:

- (a) Profits tax – research and development expenditure; and
- (b) Profits tax – taxation on non-resident

Candidates were advised that multiple choice questions could cover every part of the syllabus. They should have had adequate coverage and knowledge of all topics in the syllabus when they prepared for the examination.



(II) Section B – Written Questions

General Comments

The questions in this section tested the candidates on their conceptual understanding and their ability to apply their knowledge to specific situations that are commonly tackled by tax professionals in their work. Overall performance in this section was less than satisfactory. Many candidates demonstrated a basic understanding in computing tax liability under different types of tax. However, they were reluctant to answer essay-type questions. They could not present their answers properly as required in the questions.

Specific Comments

Question 1(a) – 6 Marks

This question required candidates to compute the amounts of depreciation allowances for plant & machinery for the commencement years of assessment of the business.

Performance was satisfactory. Candidates generally showed a basic knowledge of how to compute the depreciation allowances for plant & machinery under pooling system. However, they did not realise that the computer was a prescribed fixed asset and the cost of which could be deducted in full in the year of purchase.

Question 1(b) – 14 Marks

This question required candidates to compute the assessable profits of a corporation for the first two years of assessment after commencement of business.

Performance was not satisfactory. Candidates did not know that if the first account exceeded 12 months, the assessable profits for the first two years of assessment would be apportioned based on the adjusted profits of the first account and allowed some specific deductions, including depreciation allowances and initial contribution to MPF scheme, for each year of assessment.

Question 1(c) – 6 Marks

This question required candidates to analyse the treatment of interest received.

Performance was poor, particularly with regard to the interest received on loan to a director, where candidates failed to give a thorough analysis as to why the interest was taxable.

Question 2(a) – 5 Marks

This question required candidates to analyse whether an employment was located in Hong Kong.



Performance was satisfactory. However, many candidates did not mention the conditions in determining the locality of employment as mentioned under DIPN 10.

Question 2(b) – 4 Marks

This question required candidates to compute the holiday journey benefit chargeable to salaries tax.

Though this was a common topic for examination questions regarding salaries tax, performance was not satisfactory. Candidates did not know how to exclude the business portion from the total amount paid by the employer.

Question 2(c) – 9 Marks

This question required candidates to compute the salaries tax liability of an employee under Hong Kong employment.

Candidates performed well in this question. Candidates generally demonstrated basic knowledge of salaries tax computation. Yet, candidates should note that:

- (a) the relocation expense paid by the employer was not taxable;
- (b) the share award based on the market value was taxable; and
- (c) the rental value was 10% on the total income after deduction of subscription.

Question 3(a) – 3 Marks

This question required candidates to explain the principles adopted by the Inland Revenue Department in determining the source of manufacturing profits.

Performance was poor. Candidates failed to specify the principles in determining the source of manufacturing profits.

Question 3(b) – 6 Marks

This question required candidates to explain the requirements of a valid objection against a tax assessment.

Performance was average. Candidates generally were able to mention the basic requirements of objection. Some candidates incorrectly mentioned the requirements of a valid appeal procedure to the Board of Review.

Question 4(a) – 3 Marks

This question required candidates to compute the balancing adjustments upon disposal of the commercial building with the year of assessment concerned.



Performance was average. Many candidates failed to specify the year of assessment concerned correctly. Although they correctly computed the qualifying expenditure of the building, they had wrongly counted the total number of years of assessment involved.

Question 4(b) – 6 Marks

This question required candidates to compute the amount of commercial building allowance of a used building.

Performance was poor. Candidates failed to compute the amount of residue expenditure after sale of the building, which was used for the annual allowance base on the number of years from the first year of assessment to the buyer to the 25th year after the first use of the building. They also omitted to allow the initial allowance on the decoration expenditure incurred.

Question 5(a) – 3 Marks

This question required candidates to compute the net assessable value of a property in Hong Kong.

Performance was good. Candidates were able to present the calculation of the net assessable value properly. However, some candidates wrongly deducted the management fee and mortgage loan interest from the assessable value.

Question 5(b) – 6 Marks

This question required candidates to compute the reduced total income under personal assessment.

Performance was satisfactory. Candidates possessed a basic knowledge of the presentation of personal assessment computation. Yet, they should note that:

- (a) the business loss should not be deducted from the total income; and
- (b) the amount of donations not allowed under profits tax should be allowed under personal allowance (subject to 35% restriction).

Question 6(a) – 6 Marks

This question required candidates to analyse and compute the amount of stamp duty payable on the conveyance of the office property.

Performance was poor. Candidates did not know that:

- (a) the debts waived should be included as part of the consideration, but they could apply relief of debt waived under section 24(2) of the Stamp Duty Ordinance; and
- (b) there was no special stamp duty or buyer's stamp duty as the property concerned was a non-residential property.



Question 6(b) – 3 Marks

This question required candidates to compute the ad valorem duty on the lease agreement.

Performance was again poor. Candidates did not know how to compute the amount of stamp duty payable in respect of a 4-year lease.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was less than satisfactory. The syllabus of this paper covered Inland Revenue Ordinance and Stamp Duty Ordinance, which candidates should have been thoroughly prepared for. The questions consisted of computational questions and essay-type questions. The questions which required analysis or explanation were answered poorly. Candidates were reluctant to answer them or unable to present the answers properly. If they wish to attain better results, candidates are advised not just to focus their studies on the computational parts of the syllabus.